POLICY ENGINE

Provisional: candidate measures modelled before the Budget, not announced policy

# Autumn Budget 2026: the measures modelled

How seven measures would change the public finances, household incomes, poverty and inequality, modelled with PolicyEngine UK. Figures for 2027-28 unless stated.


BUDGET
28 October 2026

PUBLICATION
Revision 2, 26 October 2026, 22:11 UTC

MODEL
policyengine 6.10.2 · policyengine-uk 2.132.6

SUMMARY

# Summary

**£2.5 billion**

Cost to the government, 2027-28

**+£86**

Average change in household net income, £ a year, 2027-28

**98.7%** better off

**0.1%** worse off

People in households whose net income rises or falls, 2027-28

**0.00pp**

Change in absolute poverty before housing costs, percentage points, 2027-28

- In 2027-28 the seven measures together cost the government £2.5 billion.
- As a share of net income, the lowest-income tenth of households gains 0.29% and the highest-income tenth gains 0.02%.

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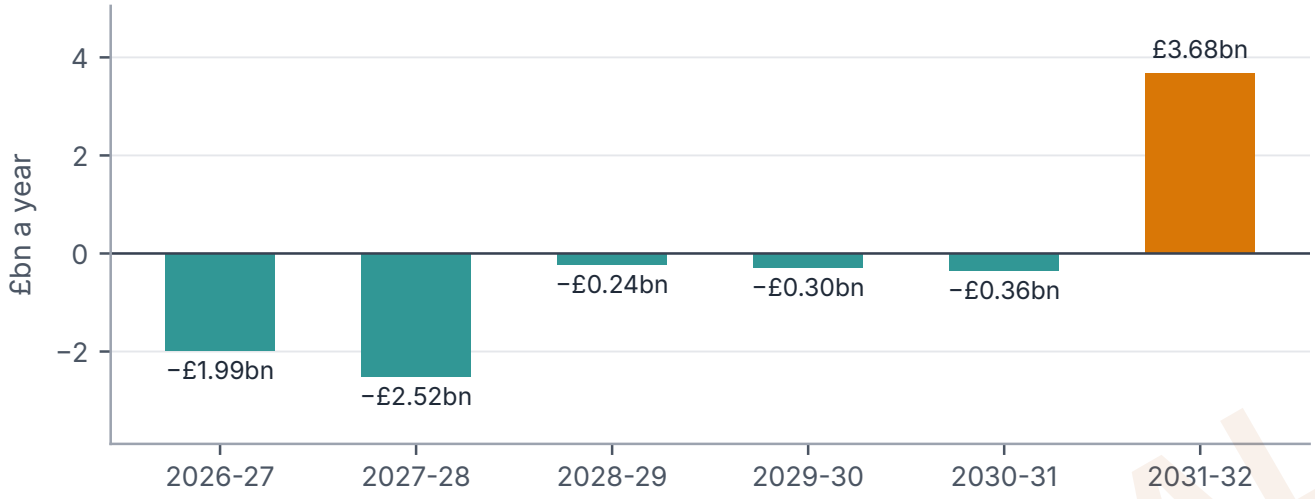
SECTION 1

# Public finances

The change in government revenue each year, as PolicyEngine costs the measures: static, with no behavioural response. Below zero the measures cost the government; above zero they raise revenue.

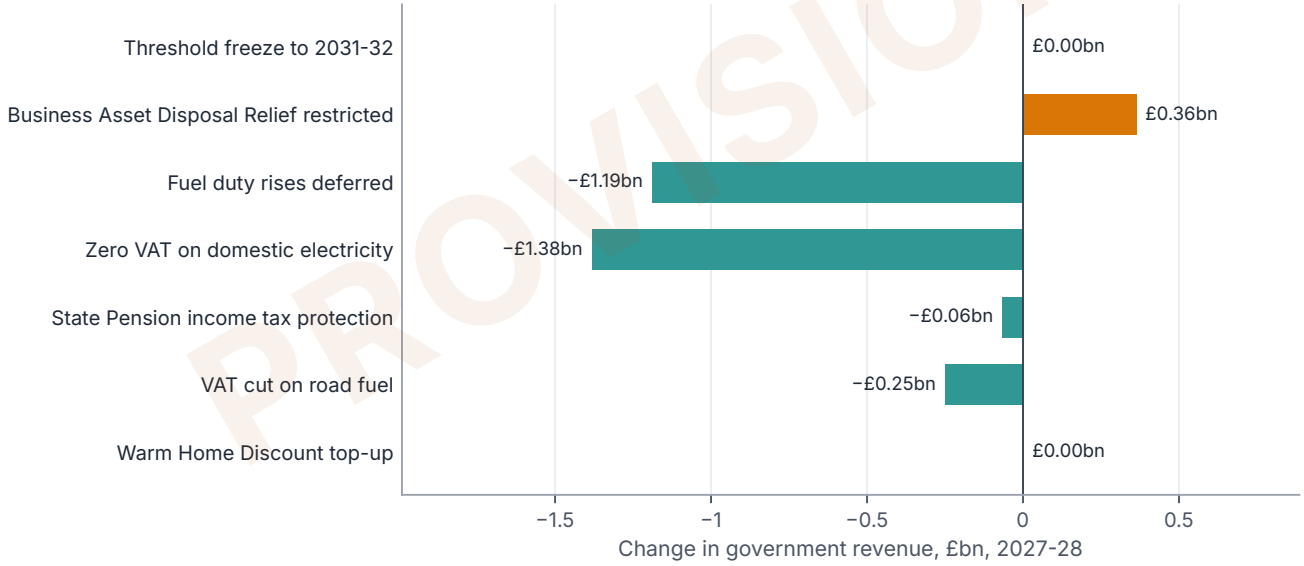
Raises revenue (households pay more) Costs revenue (households pay less or receive more)

### The measures together: change in government revenue by year, £bn




Combined run of all the measures in this report, including how they interact.

### Each measure on its own, 2027-28




Each measure run on its own against current law; the measures' own effects do not add up to the combined run's, which includes how they interact.

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**Change in government revenue by measure and year, £bn**

| Measure | 2026-27 | 2027-28 | 2028-29 | 2029-30 | 2030-31 | 2031-32 | Total |
|---|---|---|---|---|---|---|---|
| Threshold freeze to 2031-32 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | 4.16 | **4.16** |
| Business Asset Disposal Relief restricted | 0.00 | 0.36 | 0.37 | 0.39 | 0.40 | 0.41 | **1.93** |
| Fuel duty rises deferred | −0.28 | −1.19 | −0.50 | −0.49 | −0.48 | −0.49 | **−3.43** |
| Zero VAT on domestic electricity | −0.69 | −1.38 | 0.00 | 0.00 | 0.00 | 0.00 | **−2.07** |
| State Pension income tax protection | 0.00 | −0.06 | −0.12 | −0.19 | −0.28 | −0.31 | **−0.97** |
| VAT cut on road fuel | −0.51 | −0.25 | 0.00 | 0.00 | 0.00 | 0.00 | **−0.76** |
| Warm Home Discount top-up | −0.52 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 | **−0.52** |
| **All measures together** | **−1.99** | **−2.52** | **−0.24** | **−0.30** | **−0.36** | **3.68** | **−1.73** |

Negative values cost revenue. Total: 2026-27 to 2031-32. n/a: no supported figure for that year.

SECTION 2

## Households by income decile

The change in household net income in 2027-28, with households ranked into ten equal groups (deciles) by their equivalised net income before the measures.

Gain Loss

**The measures together: average change in household net income by income decile, 2027-28**




Average over all households in each decile, including those with no change.

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**Each measure on its own: average change in household net income by income decile, £ a year, 2027-28**

| Measure | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
|---|---|---|---|---|---|---|---|---|---|---|
| Threshold freeze to 2031-32 | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 |
| Business Asset Disposal Relief restricted | −£1 | £0 | −£1 | −£1 | −£1 | −£2 | −£2 | −£4 | −£20 | −£91 |
| Fuel duty rises deferred | +£26 | +£29 | +£33 | +£34 | +£42 | +£41 | +£44 | +£53 | +£56 | +£51 |
| Zero VAT on domestic electricity | +£41 | +£42 | +£45 | +£42 | +£46 | +£45 | +£49 | +£48 | +£55 | +£58 |
| State Pension income tax protection | +£1 | +£3 | +£3 | +£3 | +£2 | +£2 | +£1 | +£1 | £0 | +£5 |
| VAT cut on road fuel | +£5 | +£6 | +£7 | +£7 | +£9 | +£9 | +£9 | +£11 | +£12 | +£11 |
| Warm Home Discount top-up | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 | £0 |

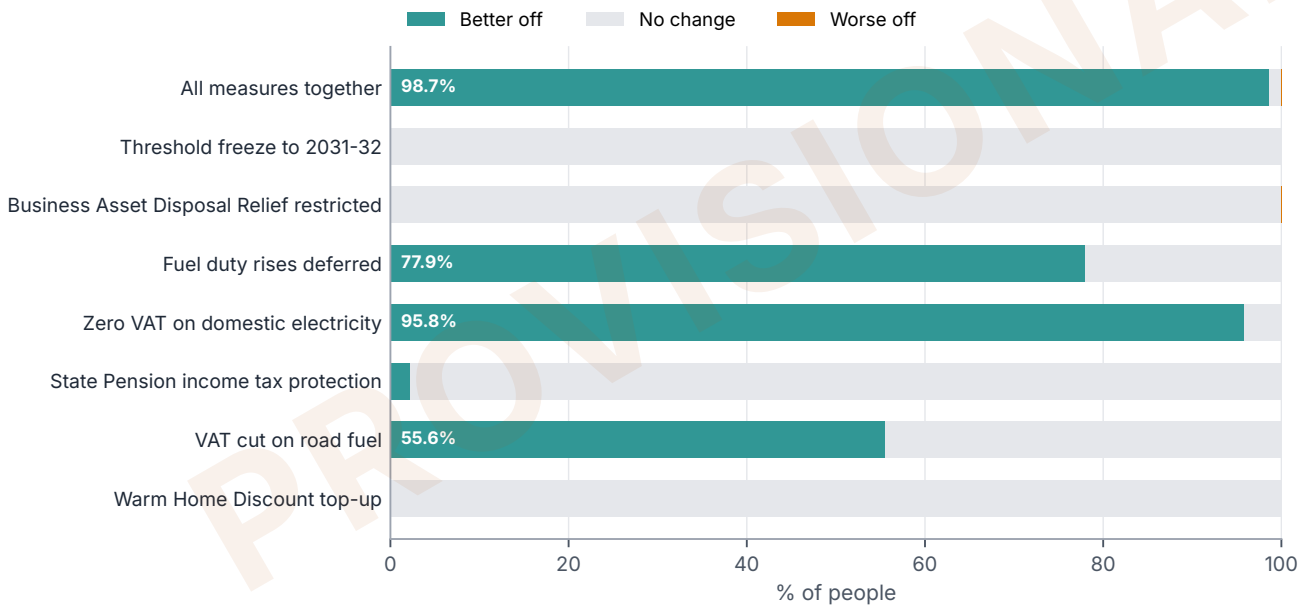
Decile 1 is the lowest-income tenth of households, 10 the highest. £0: no change on average, or less than 50p.

SECTION 3

# Better and worse off

The share of people living in households whose net income rises, does not change, or falls in 2027-28. Changes of any size count, so a household gaining £1 a year is better off.

**People better off, unchanged and worse off, 2027-28**




People counted by the household they live in. Each measure on its own; the first bar is the measures together.

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**People better off, unchanged and worse off, % of people, 2027-28**

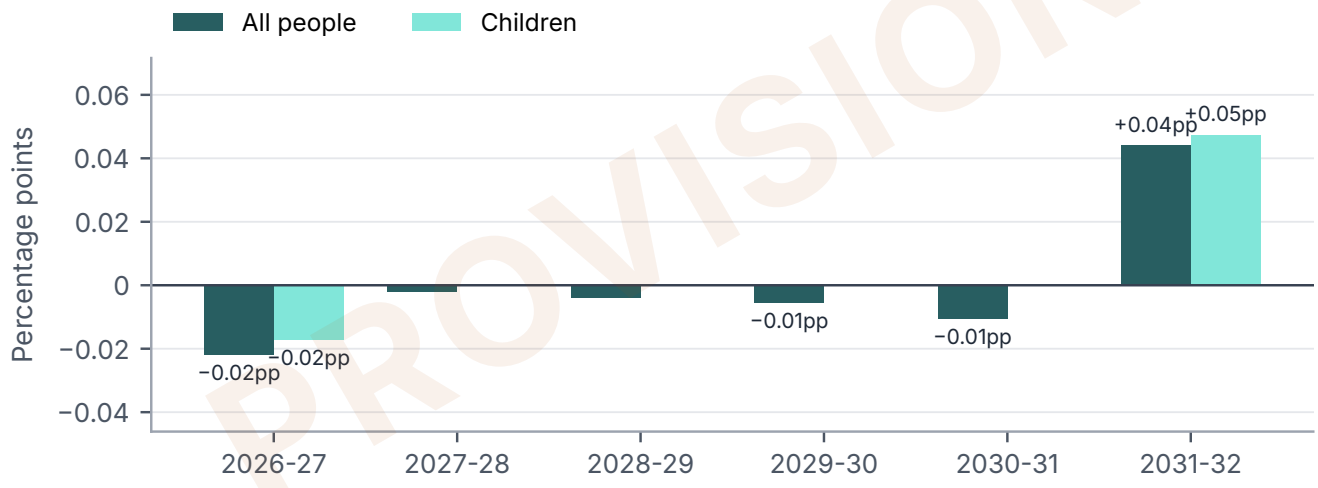
| Measure | Better off | No change | Worse off |
|---|---|---|---|
| All measures together | 98.7% | 1.2% | 0.1% |
| Threshold freeze to 2031-32 | 0.0% | 100.0% | 0.0% |
| Business Asset Disposal Relief restricted | 0.0% | 99.9% | 0.1% |
| Fuel duty rises deferred | 77.9% | 22.1% | 0.0% |
| Zero VAT on domestic electricity | 95.8% | 4.2% | 0.0% |
| State Pension income tax protection | 2.2% | 97.8% | 0.0% |
| VAT cut on road fuel | 55.6% | 44.4% | 0.0% |
| Warm Home Discount top-up | 0.0% | 100.0% | 0.0% |

SECTION 4

# Poverty and inequality

Absolute poverty: below 60% of the 2024-25 median income, held fixed in real terms. Relative poverty: below 60% of the median in the same year, so the line moves with the measures. Children are counted as in DWP's statistics. Before (BHC) and after (AHC) housing costs.

**The measures together: change in absolute poverty before housing costs, by year**




Below zero, fewer people in poverty. Bars without a label round to 0.00pp.

**The measures together: change in poverty, 2027-28**

| Poverty measure | All people, pp | All people, % of rate | Children, pp | Children, % of rate |
|---|---|---|---|---|
| Absolute, before housing costs | 0.00pp | −0.02% | 0.00pp | 0.00% |
| Absolute, after housing costs | 0.00pp | −0.02% | 0.00pp | 0.00% |
| Relative, before housing costs | 0.00pp | −0.01% | 0.00pp | 0.00% |
| Relative, after housing costs | −0.01pp | −0.03% | 0.00pp | 0.00% |

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### The measures together: change in inequality, 2027-28

| Inequality measure | Change |
|---|---|
| Gini index, relative change | −0.16% |
| Share of income of the top 10%, percentage points | −0.03pp |
| 90/10 ratio, relative change | 0.00% |

Equivalised household net income, each household weighted by the people in it. A relative change is a share of the baseline value: a Gini of 0.300 falling to 0.297 is a 1.00% fall.

### Each measure on its own: poverty and inequality, 2027-28

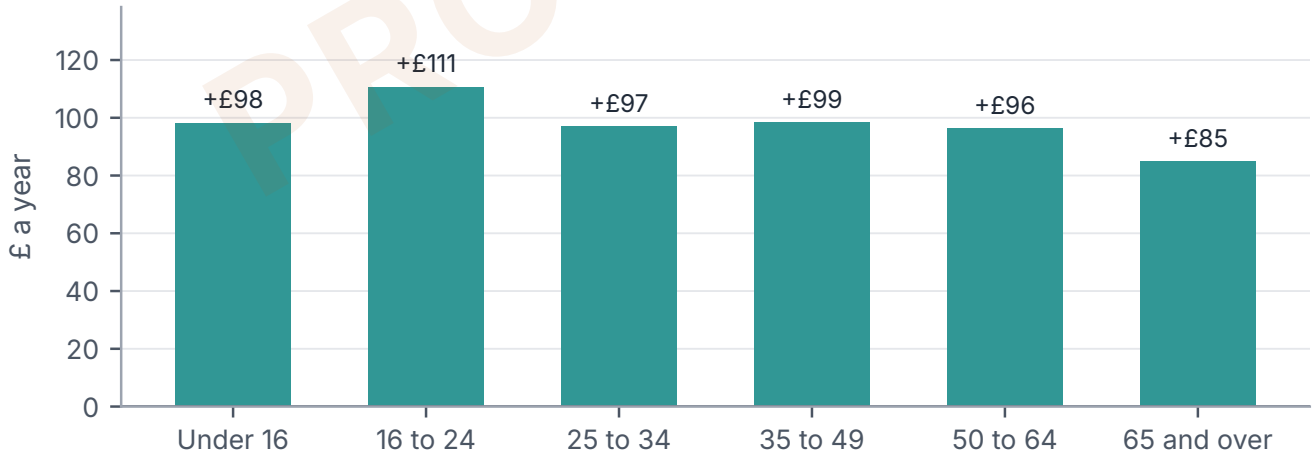
| Measure | Absolute BHC, pp | Children, absolute BHC, pp | Relative AHC, pp | Gini, relative change |
|---|---|---|---|---|
| Threshold freeze to 2031-32 | 0.00pp | 0.00pp | 0.00pp | 0.00% |
| Business Asset Disposal Relief restricted | 0.00pp | 0.00pp | 0.00pp | −0.05% |
| Fuel duty rises deferred | 0.00pp | 0.00pp | 0.00pp | −0.04% |
| Zero VAT on domestic electricity | 0.00pp | 0.00pp | 0.00pp | −0.06% |
| State Pension income tax protection | 0.00pp | 0.00pp | −0.01pp | 0.00% |
| VAT cut on road fuel | 0.00pp | 0.00pp | 0.00pp | −0.01% |
| Warm Home Discount top-up | 0.00pp | 0.00pp | 0.00pp | 0.00% |

SECTION 5

## By age

The change in the net income of the households people live in, by the person's age, in 2027-28. Household income is shared by everyone in the household.

### The measures together: average change in household net income by age, 2027-28




Per person, by the person's age. "65 and over" is an age band, not the same group as people over State Pension age.

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**The measures together: people better off, unchanged and worse off by age, % of people, 2027-28**

| Age | Better off | No change | Worse off |
|---|---|---|---|
| Under 16 | 99.3% | 0.6% | 0.1% |
| 16 to 24 | 99.4% | 0.6% | 0.0% |
| 25 to 34 | 96.3% | 3.7% | 0.0% |
| 35 to 49 | 99.0% | 0.9% | 0.1% |
| 50 to 64 | 98.9% | 1.0% | 0.1% |
| 65 and over | 98.8% | 1.1% | 0.1% |

SECTION 6

## Regions and constituencies

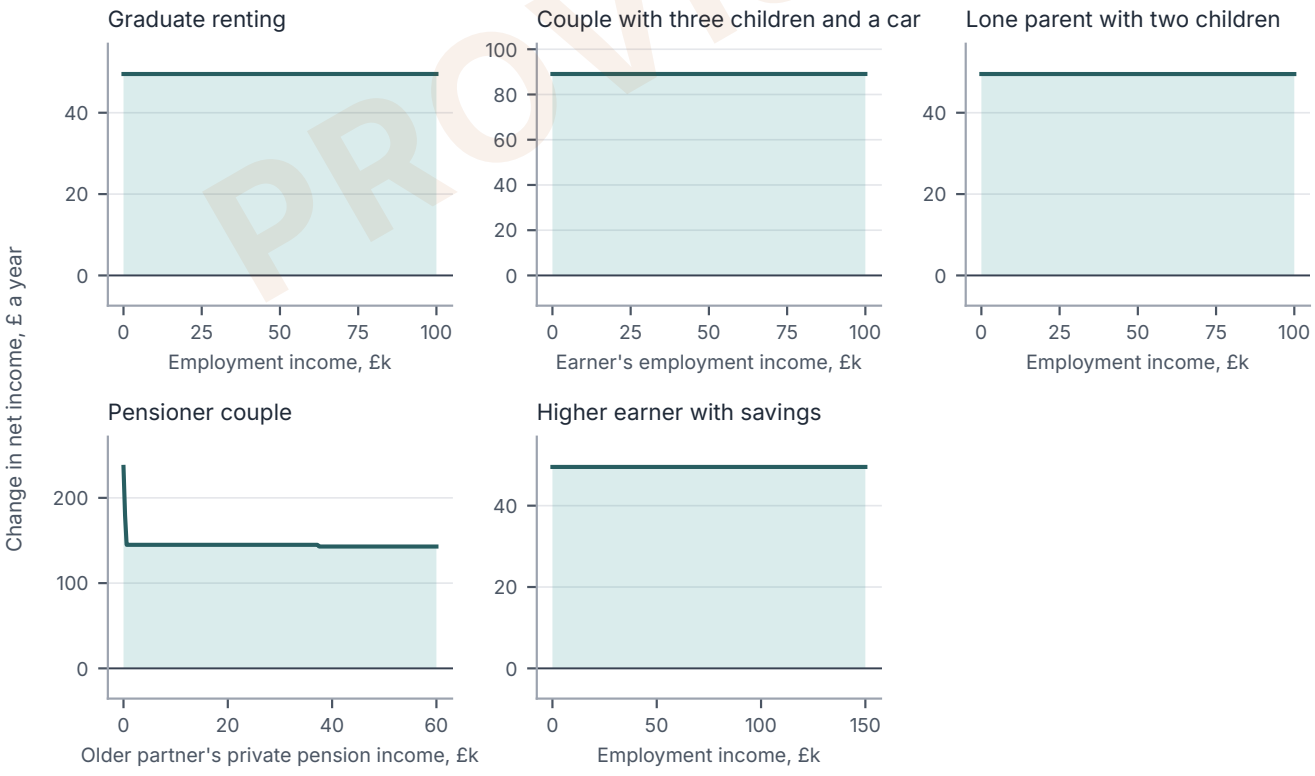
**Results by region and constituency are not yet published in this release.** They appear here once the manifest names an approved `constituency.csv` or `regional.csv`.

SECTION 7

## Example households

How the measures together change the net income of five example households in 2027-28, at different incomes. Each is one household, not an average; real households differ in rent, spending and circumstances.

**The measures together: change in net income by income, five example households, 2027-28**




The horizontal axis is the income named under each chart, before tax; each chart has its own scale.

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### The measures together: change in net income at three incomes, £ a year, 2027-28

| Household | Lower income | Middle income | Higher income |
|---|---|---|---|
| Graduate renting<br>One adult aged 30 with a Plan 2 student loan, renting a one-bedroom home privately in Manchester for £1,007 a month and spending £1,040 a year on electricity. | +£50<br>at £20,000 | +£50<br>at £40,000 | +£50<br>at £80,000 |
| Couple with three children and a car<br>A couple aged 35 and 33 with children aged 3, 6 and 8 and one earner, renting a three-bedroom home privately in Manchester for £1,441 a month and spending £957 a year on petrol and £1,040 on electricity. | +£89<br>at £20,000 | +£89<br>at £40,000 | +£89<br>at £80,000 |
| Lone parent with two children<br>A lone parent aged 32 with children aged 6 and 9, renting a two-bedroom home privately in Manchester for £1,239 a month and spending £1,040 a year on electricity. | +£50<br>at £20,000 | +£50<br>at £40,000 | +£50<br>at £80,000 |
| Pensioner couple<br>A couple aged 70 and 68 who own their home outright, each on the full new State Pension (£241.30 a week in 2026-27); the older partner has the private pension. | +£145<br>at £12,000 | +£145<br>at £24,000 | +£143<br>at £48,000 |
| Higher earner with savings<br>One adult aged 45 who owns their home with a mortgage, with £3,000 a year of savings interest and £5,000 of dividends on top of their pay, spending £1,040 a year on electricity. | +£50<br>at £30,000 | +£50<br>at £60,000 | +£50<br>at £120,000 |

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SECTION 8

# The measures

Each measure as modelled, in the order used throughout: those that raise revenue first, then those that cost it, each by size.

### The measures in this report

| Measure | What it does, as modelled | Status |
|---|---|---|
| Threshold freeze to 2031-32 | Candidate measure. The income tax personal allowance stays at £12,570 and the basic rate band at £37,700 (a higher rate threshold of £50,270) for one more year, 2031-32, instead of rising with inflation to £12,830 and £38,500. From 2031-32 policyengine-uk sets the National Insurance primary threshold and upper earnings limit at the personal allowance and higher rate threshold, so they stay at £12,570 and £50,270 too; the employer secondary threshold is not held. | Provisional Treasury costing not yet published |
| Business Asset Disposal Relief restricted | Candidate measure. From 6 April 2027 the lifetime limit on gains qualifying for Business Asset Disposal Relief falls from £1 million to £500,000; the relief rate stays at 18%. Gains above the limit pay the main capital gains tax rates. The model applies the limit to each year's gains. Capital gains are imputed and calibrated to 2024-25, when disposals were unusually high ahead of the April 2025 rise in the relief's rate, so the relief's base, and the revenue from restricting it, are likely 1.5 to 1.7 times too high. | Provisional Treasury costing not yet published |
| Fuel duty rises deferred | Candidate measure. Fuel duty stays at 52.95p a litre through winter 2026-27, with no April 2027 RPI rise; the 5p is restored in 2027-28 (3p on 1 September, 2p on 1 December 2027), and RPI uprating resumes in April 2028 from 57.95p. Rates are day-weighted to fiscal years. Includes the VAT on the lower pump price. | Provisional Treasury costing not yet published |
| Zero VAT on domestic electricity | Candidate measure. VAT on domestic electricity is 0% instead of 5% from 1 October 2026 to 31 March 2028: the zero rate to March 2027, not in the model's baseline, scored with a candidate one-year extension. Applied to electricity spending only, in Great Britain (Northern Ireland keeps the 5%), day-weighted in 2026-27. | Provisional Treasury costing not yet published |
| State Pension income tax protection | Candidate measure. From 6 April 2027, people over State Pension age get an income tax allowance equal to the full new State Pension (rounded up to £10: £13,040 in 2027-28), withdrawn £1 for £1 of income above it, down to the standard personal allowance. Someone whose only income is the full new State Pension pays no income tax. | Provisional Treasury costing not yet published |
| VAT cut on road fuel | Candidate measure. VAT on petrol and diesel falls from 20% to 15% from 1 December 2026 to 31 May 2027, fully passed through to pump prices; spending on fuel is held fixed. Day-weighted to fiscal years. | Provisional Treasury costing not yet published |
| Warm Home Discount top-up | Candidate measure. The Warm Home Discount rises from £150 to £250 for winter 2026-27 only: £100 more to each household in Great Britain receiving Universal Credit, Pension Credit, Housing Benefit or income-related ESA. Receipt follows DESNZ's rates: 85% of Pension Credit households and 70% of other eligible households. Eligibility follows England and Wales's 2026-27 core group, so households in Scotland are approximate. | Provisional Treasury costing not yet published |

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SECTION 9

# Method, data and caveats

**Provisional: candidate measures modelled before the Budget, not announced policy**

## Model and data

PolicyEngine UK, a microsimulation model of the UK tax and benefit system (policyengine 6.10.2, policyengine-uk 2.132.6, policyengine-core 3.33.3), on the microcosm_uk_2024_25 dataset (build microcosm-uk-2024-25-national-20261019T083323Z-6cba5d71). Each measure is simulated on its own against current law, and all of them together in one combined run, for 2026-27 to 2031-32. The economic assumptions are the model's pre-Budget ones; they have not yet been rebased on the Budget's OBR forecast.

## What the figures leave out

- **Static costings.** People do not change what they earn, spend, save or claim in response to the measures, so the figures are not the OBR's post-behavioural costings.
- **Measures on their own and together.** Each measure's figures are against current law; the combined run includes how the measures interact, so its figures need not equal the sum of the measures'.
- **Survey data.** Incomes and spending come from household survey data calibrated to official totals; estimates for small groups and small areas are uncertain, and cells with too few survey households are withheld.

## Provenance

Publication manifest revision 2, updated 26 October 2026, 22:11 UTC. Each artifact's files were checked against its receipt when this report was built. The first 16 characters of each digest:

### Artifacts behind this report

| Run | Status | Artifact | Receipt |
|---|---|---|---|
| Threshold freeze to 2031-32 | provisional | ab46d0e4c20a5fb6 | 592a02ca704b0915 |
| Business Asset Disposal Relief restricted | provisional | d21a1830bf883a51 | 8e7bf278b9f47704 |
| Fuel duty rises deferred | provisional | d38147e5151f4424 | 36e84452e4369a7b |
| Zero VAT on domestic electricity | provisional | 55ed8eb44ff8f18d | d223fe32d89d2fba |
| State Pension income tax protection | provisional | d4df42a20f05cb9a | ba0a75a6a596e78c |
| VAT cut on road fuel | provisional | 9c1f812b8c5de638 | c115c28915ff7045 |
| Warm Home Discount top-up | provisional | 71662c9073c5e984 | f2aaa12a5509ba2b |
| All measures together | provisional | 42a2108772d7723a | a9b8ab00cb7df58f |

Built by `report/build_report.py` at f8fd465e from `manifest.json` and the artifacts it names. Every figure in this report, with the file, row and column it came from, is in the accompanying `figures.json`. The dashboard: policyengine.org/uk/autumn-budget-2026.

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